CPA – UGANDA PAPER 11 TAXATION

November 2014 DIET

LECTURE 4 NOTES

Taxation of Partnerships

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Resident Partnership (Section 12)

- A partner in the partnership is a resident during the year of income

TAXATION OF PARTNERSHIP INCOME

- Partnerships are not recognised legal personality for tax purposes because income of a partnership is assessed on their partners.
- Taxable income of a partnership is first determined on the basis of the partnership profits.
- The adjusted profit is divided between partners after allowing for interest on capital, salary etc as stipulated in the partnership deed.
- The partnership taxable profits are apportioned to the partners on their agreed profit sharing ratios.
- Tax payable is assessed on the individual partners BUT a partnership furnishes a partnership return of income under section 65 of the ITA.
- Partnerships claim capital deductions just like any other business before arriving at taxable profits.

A partnership is NOT liable to income tax. The individual partners are responsible for their own tax matters.

A partnership income for a year of income is;

- The gross amount of the partnership for that year calculated as if the partnership were a resident tax payer, less,
- total amount of deductions allowed under this Act for expenditures or losses incurred by the partnership in deriving that income, other than the deduction allowed under sec.38- ie; carry forward of losses.

A partnership loss occurs where amount of gross income is less than the amounts of total allowable deductions.

A resident partner's gross income is the partner's share of the partnership income for any year of income.

A non resident partner gross income is the partner's share of the partnership's income attributable to sources in Uganda.

If the partners share is a loss, this loss can be offset against any other income in that year and future years.

A resident partner is allowed a loss for that year of income of the partner's share of the partnership loss.

For a year of income, a non resident partner's deduction is restricted to the loss arising from income sourced from Uganda.

The partnership income or loss is equal to the partner's percentage interest in the income of the partnership as set out in the partnership agreement.

Partners' assets used in the business are treated as owned by the partnership and NOT the partners.

SOURCES OF PARTNERSHIP INCOME

Individual Partners Income include:

The sum of remuneration, interest on capital paid to the partnership less interest on drawings.

Each share of partnership income is calculated after the partner's salaries, interest on capital payable to any partners and addition of interest on drawings payable to partnership by any partner.

STEP. 1. Chargeable Income of a partnership

	Ushs' 000
Profit per accounts	*XX*
Add: Interest on capital – A	*XX*
Interest on capital - B	*XX*
Depreciation	*XX*
Partners Salary -A	*XX*
Partners private expenses - A & B	*XX*
Easter gifts for partners wives	*XX*
Bad debts provision	*XX*
Penalty for breach of VAT regulations	*XX*
Sub total	*XX*
Less: Capital allowances	*(XX)*
Chargeable Income	*XX*

STEP. 2 Share of profit

Amount to be apportioned to partners	XX
Partner A	½ XX
Partner B	½ XX

STEP. 3. Partner Chargeable income

	A	B
Apportioned tax profit	XX	XX
Add: Interest on capital	XX	XX
Add: Salaries	XX	XX
Less: Interest on drawings	(XX)	XX
Chargeable Income of partner	XX	XX

STEP. 1. Tax Liability based on the individual tax rates.

*Example 1.*Taxable Income of a partner

Nov. 2013 Qn. 2 – worked out in class

PARTNERSHIP TAX RETURNS

- Partnerships file income tax returns showing the profit allocation to each partner
- The final tax liability is on the individual partner who files individual tax returns
- The returns are filed on the due dates as below:
  Provisional returns for individuals – every 3 months – eg for Year end 31 Dec.
  1st provisional – 31 March
  2nd provisional – 30 June
  3rd provisional – 30 September
  4th provisional – 31 Dec.
- Final return – 6 months after year end